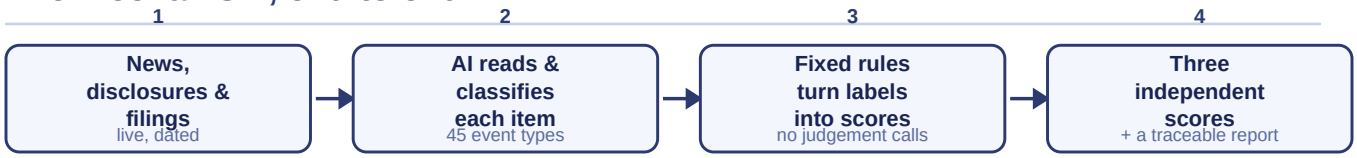
SentinelQ

How the scores are made - a quick guide to the methodology

For every stock, SentinelQ reads public news, disclosures and corporate-action filings and turns them into three independent, dated scores: the market narrative, governance risk, and corporate-action risk. Every score is produced by a fixed, published rule, traces back to specific sourced articles, and is reproducible - the same inputs always give the same output.

The mechanism, end to end



One pipeline, three outputs - every stock goes through exactly the same mechanical process.

Only the second step uses AI, and only to read and classify - it assigns each article a fixed label (what kind of event, how positive or negative, whether it concerns governance) using rules set in advance. It never decides a score itself. Every step after that - combining labels into numbers, applying bands, writing the report - is ordinary deterministic software: same rule, same inputs, same output, every time.

This separation is what makes the output auditable rather than a black box: the only subjective step is narrowly scoped and fully logged, and every number downstream of it can be traced back to the specific, dated article that produced it.

The three scores

Sentiment

A -2 to +2 read of the year's news, weighted so recent, well-corroborated articles count more than old or thinly-sourced ones. Reported two ways side by side - a weighted mean and a plain (raw) mean - so the committee can see whether recent news is driving the read. Share-price moves never feed this score; only reported events do.

Band	Reading
+2	Sustained, broad-based good news with no material offset.
+1	Positive on balance, with one specific offset.
0	Genuinely two-sided, or evidence judged insufficient to call.
–1	A material negative dominates the period.
–2	Severe or compounding bad news.

Governance

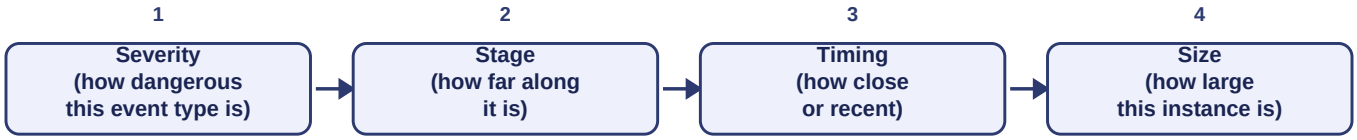
Starts every stock at 100 and deducts fixed, published points only for specific, verified adverse events - a regulator's order, an auditor's exit, an unplanned senior departure, a promoter's pledged shares being sold under stress. Routine events (a scheduled retirement, a resolved inquiry) are checked and explicitly not penalised, so the score reflects real risk, not noise.

Label	Band	Meaning
Clean	≥ 95	No material adverse event in the window.
Watch	80–94	Something disclosed that warrants monitoring.
Flag	< 80	A live or recent event needing attention before adding risk.

Corporate Actions

A single 0–10 risk read on what is live right now in a stock's capital or ownership structure - a dilutive raise, a change of control, a promoter pledge. Each event is scored on four factors, combined so one serious event is never diluted by

several minor ones:



Combined into ONE risk score, 0–10 - not summed or averaged.

Score	Band	Default action
0–2.9	Log	Nothing to flag.
3–4.9	Watch	Add to the watchlist.
5–6.9	Review	Pause new buying; review before the next rebalance.
7–8.9	Act	Trim, hedge, or document why the position is being held.
9–10	Exit	Exit by default; holding requires explicit sign-off.

A small number of severe events (insolvency, a forced pledge sale) override this arithmetic entirely and send the score straight to Exit - no combination of minor events can do that, and no combination of good news can offset it either.

Why the output can be trusted

Fully traceable	Every score opens down to the specific, dated articles that produced it, each with its own link.
Deterministic	No randomness and no drift - the same evidence always produces the same score, every time it is checked.
Source-strength shown	A claim resting on a single weaker outlet is flagged as such, not shown with the same confidence as a well-corroborated one.
Nothing walled off	One article can feed all three scores at once (e.g. an auditor exit is bad sentiment news, a corporate-action event, and a governance penalty, together) - nothing is double-counted or hidden.

Reading a score at a glance

Each holding carries all three scores side by side, colour-coded the same way across the portfolio, so a reviewer can scan dozens of names and immediately see where the real risk is concentrated - without reading every underlying article. A name that is Clean on governance and Log on corporate actions needs no further look; a Flag or an Exit is where attention belongs.

Illustrative holding	Sentiment	Governance	Corp. Actions	Read
Example A	**+2**	**100 Clean**	**0.4 Log**	No action needed.
Example B	**+1**	**82 Watch**	**3.1 Watch**	Add to the watchlist.
Example C	**0**	**95 Clean**	**6.8 Review**	Pause new buying; review before rebalance.
Example D	**–1**	**70 Flag**	**9.4 Exit**	Exit by default.

Illustrative only - not live portfolio data.

What this does not do

Not a buy/sell signal	It is a research and risk-monitoring read, not a return forecast - it tells you what has happened and how material it is, not what the price will do next.
Not a replacement for judgement	It applies one fixed rule consistently and surfaces the evidence; a person still decides what to do about a Flag or an Exit.
Not a forced opinion	Where public coverage of a stock is too thin to call a direction, the score says so explicitly rather than guessing.
Not a snapshot of price	Share-price moves never feed any of the three scores - only reported events do; the scores describe the company, not how the stock has traded.

This is a brief for a client and leadership audience, summarising the methodology only. The full scoring rubric - every category, penalty and multiplier - follows as an appendix.

Appendix

The full scoring rubric - every category, penalty and multiplier referenced above

Sentiment anchors

Score	Definition
+2	Sustained fundamental beats with broad confirming evidence (record earnings, upgraded guidance, favourable structural drivers) and no material offset in the lookback.
+1	Positive year on balance, but with a specific offset — one weak quarter, an execution issue, or a valuation caution — that prevents the maximum score.
0	Genuinely two-sided: material positive drivers matched by material negative drivers, or coverage judged insufficient to score directionally.
–1	Material earnings deterioration or a defined event whose economic impact dominates the year, even if partial offsets exist.
–2	Severe or compounding negatives.

Governance - every penalised category

Starts at 100. Each category counted once per stock (the most severe instance); penalties older than 6 months fade linearly to half by 12 months.

Category	Penalty	Notes
Auditor resignation or restatement	–25 / –20	Highest-severity integrity events.
Regulatory action or settlement	–20	SEBI/exchange orders, settlement of adjudication.
Related-party-transaction concern	–12	Material or investor-contested RPTs.
Live investigation overhang	–10	Unresolved probe active in the window.
Exchange fine / disclosure lapse	–5 to –10	Non-integrity procedural penalties.
Management or compliance churn	–8	Unplanned CXO/CS/CFO exits.
Board-independence change	–8	Combined roles, indep. director gaps.
Historical (out-of-window) event	–5	Memory discount; not double-counted.
Promoter pledge invocation	–20	Forced selling into the market - the classic mid/small-cap stress spiral.
Promoter pledge creation	0 / –5 / –10	Pledged % of promoter holding; penalised only at medium/high materiality.
Insolvency admission (IBC) / compulsory delisting / long suspension	–25	Can go to near zero and may not be exitable.

Routine items (scheduled succession, a resolved/quashed matter, an approved arm's-length related-party transaction, a scheduled auditor rotation) are reviewed and never penalised.

Corporate Actions - severity by event type

Each event's severity (below) is multiplied by stage, timing and size - see the three tables that follow - capped at 10.

Sev.	Event type	Damage
10	insolvency admission	Both
9	demerger	Both
9	merger acquisition	Both
8	split bonus	Data
8	open offer takeover	Economic
7	rights issue	Both
7	pledge	Economic
7	pledge invocation	Economic
6	dilution	Both
6	special dividend	Both
6	auditor resignation	Economic
6	management exit	Economic
5	buyback	Economic
5	lock in expiry	Economic
4	dividend	Data
3	name symbol isin change	Data
2	fy end change	Data
2	routine agm egm	Data
1	admin notice	None
0	noise notice	None

...multiplied by three more factors

Stage

Stage	Multiplier
Board Intimation	x0.3
Board Approved	x0.6
Approval Obtained	x0.8

Timing

Upcoming: >60 days out x0.5, 15-60 days x0.75, under 15 days x1.0. Already happened: decays by half every N days from publication (30-180 days depending on event type, e.g. 30 for a dividend, 180 for a pledge).

Size

From the stated size (dilution %, pledged % of promoter holding, rights discount %), or from materiality (low/medium/high) when no percentage is given: up to 2% -> x0.7, up to 5% -> x1, up to 10% -> x1.2, above 10% -> x1.5.

The two overrides

Gate A - forced to Exit	Insolvency admission; a pledge invocation; an auditor resignation citing withheld information. Overrides the arithmetic entirely, regardless of score.
Gate B - data quarantine	Splits/bonuses, demergers, mergers/acquisitions, rights issues, special dividends, ISIN/symbol changes. Excluded from the Risk/Opportunity number (a structure change needs its own data check), but still flagged in the write-up, positive or negative.